

Berkley Insurance Company

Lawyers Professional Liability Insurance Application – New York

FOR POLICIES WITH AN EACH CLAIM LIMIT OF LESS THAN \$500,000, THE INSURER WILL PAY CLAIM EXPENSES IN ADDITION TO THE LIMIT OF LIABILITY.

FOR POLICIES WITH AN EACH CLAIM LIMIT OF \$500,000 OR HIGHER, IF ENDORSED, CLAIM EXPENSES MAY REDUCE THE LIMIT OF LIABILITY AVAILABLE TO PAY DAMAGES BY UP TO 50% AND/OR CLAIM EXPENSES MAY BE APPLIED TOWARD THE DEDUCTIBLE BY UP TO 50%.

FOR POLICIES WITH AN EACH CLAIM LIMIT OF \$5,000,000 OR HIGHER OR A DEDUCTIBLE OF \$100,000 OR HIGHER, IF ENDORSED, CLAIM EXPENSES MAY REDUCE THE LIMIT OF LIABILITY AND MAY BE EXHAUSTED BY CLAIM EXPENSES. CLAIM EXPENSES MAY BE APPLIED TOWARD THE DEDUCTIBLE BY UP TO 100% OF THE DEDUCTIBLE AMOUNT.

- Include a Copy of the Applicant Firm's Letterhead
- Completed Supplemental Application(s) where applicable

Whenever printed in this Application, the terms in boldface type shall have the same meanings as indicated in the Policy. This Application is to be completed with respect to the entire Applicant Firm.

Sandpiper Trading LLP

Name of Applicant Firm

www.example.com

Website Address (if applicable)

204 North Plank Road

Street Address

ORANGE

County

NEWBURGH

City

Suite

NY

State

12550

Zip Code

PARTNER

Title

Wren Sutcliffe

Name of Contact at Applicant Firm

wren.sutcliffe@example.com

E-mail Address

845-555-2501

Telephone Number

845-555-2502

Fax Number

Requested Coverage

Select the limit of liability the Applicant Firm desires. Some limits / deductible / optional coverages may not be available in all states and all are subject to underwriting qualification.

- | | | | |
|--|---|--|--|
| ☐ \$100,000 / \$300,000 | ☐ \$500,000 / \$1,000,000 | ☐ \$2,000,000 / \$2,000,000 | ☐ \$4,000,000 / \$4,000,000 |
| ☐ \$250,000 / \$500,000 | ☐ \$1,000,000 / \$1,000,000 | ☐ \$2,000,000 / \$4,000,000 | ☐ \$5,000,000 / \$5,000,000 |
| ☐ \$500,000 / \$500,000 | ☒ \$1,000,000 / \$2,000,000 | ☐ \$3,000,000 / \$3,000,000 | ☐ Other _____ / _____ |

Select the deductible the Applicant Firm desires: ☐ \$2,500 ☒ \$5,000 ☐ \$10,000 ☐ \$25,000 Other \$ _____

Select the optional coverages the firm desires:

- | | | |
|---|--|---|
| ☐ Per Claim Deductible | ☐ Claims Expenses Outside Limit – 50% | ☐ Claims Expenses Outside Limit – 100% |
| ☐ First Dollar Defense – 50% | ☐ First Dollar Defense – 100% | ☐ Title Insurance Agency |

General Information

1. For how many years has the Applicant Firm been continuously covered for malpractice claims? 6

2. List the professional liability insurance purchased by the Applicant Firm for each of the last 5 years and

indicate the Applicant Firm's current retroactive date (Mo/Day/Yr): 10 / 2 / 2021 ☐ None

Insurance Carrier	Policy Period	# of Attorneys	Limit of Liability	Deductible	Premium
Valley Forge Ins. Co.	10/02/2020 - 10/02/2021	2	\$ 1m-1.2m	\$	\$
			\$	\$	\$
			\$	\$	\$
			\$	\$	\$
			\$	\$	\$

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3. Within the last 5 years, has the Applicant Firm, or any predecessor in business, ever had an insurer decline, cancel, refuse to renew, or rescind any professional liability insurance policy? (NOT APPLICABLE IN MISSOURI) ☐ Yes ☒ No
4. Within the last 5 years, has the Applicant Firm, or any predecessor in business, ever purchased an Extended Reporting Period (or Discovery Period) under any prior professional liability insurance policy?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☒ No
5. Form of Applicant Firm: ☐ Limited Liability Corporation ☒ Limited Liability Partnership ☐ Other _____
☐ Partnership ☐ Professional Association ☐ Professional Corporation ☐ Solo Practitioner / Individual
6. The Applicant Firm has been in continuous operation since: 2015
7. a. Number of branch offices: 1
b. If a member of a network of affiliates or a consortium, how many firms in the network or consortium? N/A
c. Does the Applicant Firm share office space, expenses, cases, staff or letterhead with any other individual, of counsel partnership, firm, or organization?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☒ No
8. Check the appropriate box indicating the management structure in the table below for the principle office of the Applicant Firm.
- | | | |
|--|---|-----------------------|
| ☐ Sole Practitioner | ☐ Management Committee | # in committee: _____ |
| ☒ Managing Partner | ☐ Executive Committee | # in committee: _____ |
| ☐ Managing Executive | ☐ Other: _____ | |

If managed by a committee, does the committee meet on a regularly scheduled basis? ☐ Yes ☐ No

9. Complete the table below providing the total number of staff in the principle office and all branches.

	Current Year	Prior Year	Two Years Ago
Partners / Officers / Members	<u>2</u>	<u>2</u>	<u>2</u>
Employed Lawyers			
Of Counsel			
Independent Contractors / Per Diem lawyers			
Paralegals	<u>1</u>	<u>1</u>	<u>1</u>
Clerical	<u>1</u>	<u>1</u>	<u>1</u>
Other Staff (Describe below)			
TOTAL	<u>4</u>	<u>4</u>	<u>4</u>

Other Staff (description, if applicable): _____

10. List all of the Applicant Firm's attorneys. List additional attorneys on a separate sheet in the same format. Differences between the date an attorney began practicing law for other than a corporate or government entity and the date the attorney was admitted to the Bar must be explained on a separate sheet of paper following the same format.

Attorney Name		* Designation	Average # Hours weekly	States Licensed to Practice Law	Number of Years			Prior Acts Date
First	Last				In Practice	With Firm	With Continuous Coverage	
Wren Sutcliffe		P		NY	13	6	13	
Lenora Fairbank		P		NY	28	6	14	

*Designations: "A" Associate "IC" Independent Contractor "OC" Of-Counsel "O" Officer "M" Member "P" Partner

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11. Complete the table below for any predecessor in business that has been merged into or acquired by the Applicant Firm during the past five years. For the purpose of this question, a predecessor in business is a firm which is engaged in the practice of law to whose financial assets and liabilities the Applicant Firm is a majority successor in interest. ☒ Not Applicable

Predecessor in Business Name	Dates of Existence	# of Lawyers Acquired	Status of Predecessor in Business (dissolved, name change or continues)	Predecessor in Business Retroactive Date

Area of Practice & Client Information

12. Express percentage of time (billable hours) devoted to each area of practice for the previous year. Indicate percentages in whole numbers next to the type of law practices, not the type of client. Be as accurate as possible, casual estimates may cause inappropriate evaluation of the practice. All litigation should be coded as "civil" litigation with the exception of "criminal," "personal injury-plaintiff" and "intellectual property."

% Admiralty / Marine – Defense	% Intellectual Property* (Copyright / Trademark / Patent)
% Admiralty / Marine – Plaintiff	% International Law
% Anti-Trust / Trade Regulation	% Labor Management Representation
% Banking / Financial Institutions	% Labor Union Representation
5 % Business Transactions / Commercial Law	% Local Government
% Civil / Commercial Litigation – Defense	% Natural Resources / Oil & Gas
% Civil / Commercial Litigation – Plaintiff	% Personal Injury / Property Damage – Defense
% Civil Rights / Discrimination	% Personal Injury / Property Damage – Plaintiff
% Collection / Bankruptcy	% Real Estate Title* – Commercial
% Construction (Building Contracts)	% Real Estate Title* – Residential
% Consumer Claims	% Securities* (S. E. C.)
5 % Corporate Business Organization	% Taxation
% Criminal	5 % Wills, Estates, Trust & Probate
% Environmental	% Workers Compensation – Defense
% Family Law	% Workers Compensation – Plaintiff
% Government Contracts / Claims	85 % Other <u>REAL ESTATE</u>
% Immigration / Naturalization	100% Total – must equal 100%

*** If any percentage, complete the Intellectual Property Section or the Securities Section of the Supplemental Application, or the Real Estate Supplemental Application.**

13. Has the Applicant Firm's Areas of Practice varied more than 10% within the past two years? ☐ Yes ☒ No
14. In the past five years, has the Applicant Firm been involved in any mass tort / class action cases? ☐ Yes ☒ No
If "Yes", provide details in the Additional Information section of this application.
15. Based on the sums billed in the most recent fiscal year, complete the table below to describe the Applicant Firm's client base. Categories are mutually exclusive and should equal 100%.

Individuals	85 %	Financial Institutions	5 %
Start-up Businesses	5 %	Government Entities	%
Privately-held Companies	5 %	Entertainment / Sports	%
Publically-traded Companies	%	Other (Describe below)	%
		TOTAL:	100%

16. Based on the sums billed in the most recent fiscal year, list the five largest clients of the Applicant Firm. Use the Areas of Practice in question 12. If client name is not a matter of public record and confidentially is required, describe only the nature of business and provide the Area of Practice.

Name of Client & Number of Years as Client	Nature of Business	Area of Practice
Alderwood Contracting LLC	LENDING - REAL ESTATE	Real Estate
Glenmara Group LLC	LENDING	Real Estate
Wolfram Holdings Corp	LENDING	Real Estate

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17. Does the Applicant Firm have written procedures to follow when a complaint regarding professional legal services or fees is received from client or a client's lawyer?

If "Yes", provide details in the Additional Information section of this application.

☒ Yes ☒ No

18. What percentage of accounts receivable are outstanding more than 90 days? 1 %

Internal Controls and Procedures

19. Does the Applicant Firm offer a training program for the staff? ☒ Yes ☐ No
20. Does the Applicant Firm use a formal system to evaluate, at least annually, the performance of all practicing lawyers (including partners/members) and staff within the Firm? ☒ Yes ☐ No
21. Check all that apply with respect to the measures taken by the Applicant Firm to protect itself from possible claims made against the Applicant Firm arising from the acts, errors or omissions committed by a lateral hire? **N/A**
- | | |
|--|---|
| ☐ Verification of bar admission | ☐ Disclosure of past and potential complaints and claims |
| ☐ Investigation of outside interests (director / officer positions and controlling interests, etc.) | ☐ Investigation of any actual or potential conflict(s) of interest (clients of prior firms, equity interests in clients, etc.) |
| ☐ Verification of malpractice insurance | ☐ Warranty letter regarding no known complaints or claims |
| ☐ Require the purchase of an extended reporting period, if available | ☒ Training in the Applicant Firm's office procedures |
22. Are engagement letters required to be signed by all new clients prior to starting work for the client? ☐ Yes ☒ No
23. Are the billing arrangements, if any, set forth in the engagement letters? ☒ Yes ☐ No
24. Are the contingent fee arrangements, if any, set forth in the engagement letters? ☒ Yes ☐ No
25. Are scope of service letters on all new matters required to be sent to existing clients? ☒ Yes ☐ No
26. Does the Applicant Firm acknowledge in writing the declination or termination of representations? ☒ Yes ☐ No
27. Does the Applicant Firm routinely refer clients to certain other firms?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☒ No
28. Does the Applicant Firm have procedures for identifying and resolving potential or actual conflicts of interest including cross-checking for former, existing or potential clients? ☒ Yes ☐ No
29. Check all that apply with respect to the Applicant Firm's Docket System:
- | | | |
|---|--|---|
| ☒ Single Calendar | ☐ Computer System | ☐ Verification of completion of events |
| ☐ Dual Calendar | ☐ Pocket Diary | ☐ Other: _____ |
| ☐ Tickler File | ☐ Master Listings | |

30. Does the Applicant Firm's Docket system have a procedure for verification of the completion of daily events and for the rescheduling of events that were not completed? ☒ Yes ☐ No
31. Do any of the Applicant Firm's lawyers, partners or members have an individual or combined equity interest greater than 10% in any client?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☒ No
32. Does the Applicant Firm have written procedures regarding the acceptance of stock, deeds, or other property in lieu of fees for services rendered? ☐ Yes ☒ No
33. Does anyone in the Applicant Firm serve as a director, officer, employee or in any management capacity for a client? **If "Yes", provide details in the Additional Information section of this application.** ☐ Yes ☒ No
34. Does anyone in the Applicant Firm provide dual representation (both sides of the dispute)? ☐ Yes ☒ No
35. *For Applicant Firms with more than five attorneys:* Does the Applicant Firm require that at least two attorneys in the Applicant Firm be informed of the initiation of a representation? ☐ Yes ☐ No **N/A**
- For Solo Practitioners:* Is there a procedure in place regarding provisions of services if the sole practitioner is incapacitated or otherwise unavailable?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☐ No **N/A**
36. During the last two years, has the Applicant Firm initiated any law suits or arbitration procedures to enforce the collection of unpaid fees for the Applicant Firm?
If "Yes", provide details in the Additional Information section of this application. ☐ Yes ☒ No

Litigation and Claim Information

37. Does the Applicant firm have a written policy requiring that a notice of claim or potential claim be reported to an identified individual or committee as soon as a lawyer or employee of the Firm becomes aware of the claim or potential claim? ☐ Yes ☒ No

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38. Has any lawyer in the Applicant Firm ever been refused admission to practice, disbarred, or suspended from practice, reprimanded, sanctioned, or disciplined by any court or administrative agency?
If "Yes", provide details in the Additional Information section of this application. ☒ Yes ☐ No
39. During the last 5 years, has any professional liability claim or suit been made against the Applicant Firm, or any predecessor in business, or any past or present lawyers in the Applicant Firm?
If "Yes", complete the Claim / Incident Section of the Supplemental Application. ☐ Yes ☒ No
40. Is the Applicant Firm or any lawyer in the Applicant Firm aware of any fact, circumstance or situation that might reasonably be expected to result in any professional liability claim or suit against the Applicant Firm, or any predecessor in business, or any past or present lawyers in the Applicant Firm?
If "Yes", complete the Claim / Incident Section of the Supplemental Application. ☐ Yes ☒ No

IT IS UNDERSTOOD AND AGREED THAT THE INSURER SHALL NOT BE LIABLE TO MAKE ANY PAYMENT FOR DAMAGES OR CLAIMS EXPENSE IN CONNECTION WITH ANY CLAIM MADE AGAINST ANY INSURED BASED UPON, ARISING OUT OF, DIRECTLY OR INDIRECTLY RESULTING FROM OR IN CONSEQUENCE OF, OR IN ANY WAY INVOLVING ANY PROFESSIONAL LIABILITY CLAIM OR SUIT, FACT, CIRCUMSTANCE, OR SITUATION SET FORTH OR THAT SHOULD HAVE BEEN SET FORTH IN RESPONSE TO QUESTIONS 39 OR 40.

Financial Information

➤ Provide copy of latest audited financial statement and fiscal year end management reporting package for the Applicant Firm

Provide the following financial information for the Applicant Firm last completed fiscal year and the prior 2 fiscal years:

	Latest Fiscal Year 12/31/2021	Prior Fiscal Year 12/31/2020	Prior Fiscal Year 1/1/19
Current Assets: (All cash and other assets likely to be converted into cash within 1 year)	\$ 60,000	\$	\$
Current Liabilities: (Liabilities that will be paid in 1 year)	\$	\$	\$
Total Assets: (All assets of the Applicant Firm)	\$	\$ 154,466	\$
Total Liabilities: (All liabilities of the firm including current liabilities and long term debt)	\$	\$ 70,706	\$
Capital: (All partners' / shareholders' investment in the Applicant Firm including cash and assets contributed in addition to undistributed profits)	\$	\$	\$
Total Revenues: (All amounts received [cash based accounts] or earned [accrual based accounts])	\$	\$ 293,003	\$
Total Expenses: (All costs paid [cash based accounts] or incurred [accrual based accounts])	\$	\$ 172,192	\$
Total Average Receivables: (As of year-end, compute by adding the beginning of the year total receivable balance and the end of the year total receivable balance, then dividing the sum by 2)	\$	\$	\$

Provide the 3 largest expenses (expense / \$) incurred by the Applicant Firm for the last completed fiscal year and the prior 2 fiscal years:

Latest Fiscal Year	Prior Fiscal Year	Prior Fiscal Year
Copier Lease / Office Supplies	Copier Lease / Office Supplies	Copier Lease / Office Supplies
Phone Services	Phone Services	Phone Services
IT Infrastructure	IT Infrastructure	IT Infrastructure

Additional Information

➤ If space provided is insufficient, include additional details on a separate attachment.

#4: When and why was Extended Reporting Period purchased? N/A

#7 c: Provide the names of the entity(ies) and a copy of each letterhead: N/A

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- #14: Describe the mass tort / class action cases: N/A
- #17: Describe procedures: Provide issue to partner, have partner reach out to client
- #27: Describe the agreement, if any between the Applicant Firm and the other firm(s). Include any fee arrangement, if applicable.
N/A
- #31: Provide the names of the lawyers, partners or members, names of clients and percentage of ownership:
N/A
- #33: Provide the names of the individuals, positions held and names of clients:
N/A
- #35: Describe the procedures regarding provisions of services if the sole practitioner is incapacitated or otherwise unavailable:
N/A
- #36: Describe the law suits initiated and/or arbitration procedures to enforce collection of unpaid fees, status of the suit for fees and dollar value of unpaid fees : N/A
- #38: Provide the names of the attorneys and reason for: refused admission to practice, disbarment, or suspension from practice, reprimand, sanction, or discipline: Office Error Lenora Fairbank suspension 2005-2007 : failure to register / law

Please Read Carefully

The undersigned, acting on behalf of all proposed **Insureds**, declare that the statements set forth herein are true and correct and that thorough efforts have been made to obtain sufficient information from each **Insured** proposed for this insurance to facilitate the proper and accurate completion of this Application.

The undersigned agree that the particulars and statements contained in the Application and any material submitted herewith are their representations and are the basis of the insurance contract. The undersigned further agree that the Application and any material submitted herewith shall be considered attached to and a part of the Policy. Any material submitted with the Application shall be maintained on file (either electronically or paper) with the **Insurer** and shall be deemed to be attached hereto as if physically attached.

It is further agreed that:

- if any significant change in the condition of the applicant is discovered between the date of this Application and the Policy inception date, which would render this Application inaccurate or incomplete, notice of such change will be reported in writing to the **Insurer** immediately;
- any Policy, if issued, will be in reliance upon the truth of such representations and any material misrepresentation or fraud made by the **Insured** or with the **Insured's** knowledge in applying for this Policy or in pursuing a **Claim** under this Policy shall be deemed grounds for denial of coverage or cancellation of this Policy;
- this Application has been completed as respects the entire Applicant Firm;
- the signing of this Application does not bind the undersigned to purchase the insurance.

I understand that the information submitted herein becomes a part of the Applicant Firm's Lawyers Professional Liability Insurance Application and is subject to the same representations and conditions.

NOTICE TO NEW YORK APPLICANTS: ANY PERSON WHO KNOWINGLY AND WITH INTENT TO DEFRAUD ANY INSURANCE COMPANY OR OTHER PERSON FILES AN APPLICATION FOR INSURANCE OR STATEMENT OF CLAIM CONTAINING ANY MATERIALLY FALSE INFORMATION, OR CONCEALS FOR THE PURPOSE OF MISLEADING, INFORMATION CONCERNING ANY FACT MATERIAL THERETO, COMMITS A FRAUDULENT INSURANCE ACT, WHICH IS A CRIME, AND SHALL ALSO BE SUBJECT TO A CIVIL PENALTY NOT TO EXCEED FIVE THOUSAND DOLLARS AND THE STATED VALUE OF THE CLAIM FOR EACH SUCH VIOLATION.

Dated 9/27/2021

Title Partner

Signature of Owner, Partner, Officer or Principal Wren Sutcliffe

Owner, Partner, Officer or Principal (Print Name) Wren Sutcliffe

This Berkley Insurance Company Application, including any material submitted herewith, shall be held in strictest confidence.

A POLICY CANNOT BE ISSUED UNLESS THE APPLICATION IS PROPERLY SIGNED AND DATED.

Producer Information

Submitted by (Agency Name) _____

Agent's Name (Individual's Name) _____

Agent's License Number _____

Dated _____